(14300 – 13200)/13200 × 100 = 8.33%

National income growth $_{\text{at constant price}}$ = (National Income of this year $_{\text{at constant price}}$ – National Income of previous year $_{\text{at constant price}}$) / National Income of previous year $_{\text{at constant price}}$ × 100.

In the example, National Income growth at constant price for 2008 – 09 = (11000 – 12000)/12000 × 100 = – 8.33 %

The National Income $_{\text{at current price}}$ shows positive growth whereas at the same time the National Income $_{\text{at constant price}}$ shows negative growth.

Incremental Capital Output Ratio (ICOR)

Capital output ratio (ICOR) is the ratio between capital and output.

In formulaic form,

Capital output ratio = Capital / Output

It shows the amount of capital required to produce a product.

Incremental capital output ratio means the additional amount of capital required to produce one additional product.

ICOR = Incremental Capital / Incremental Output

It helps to calculate the amount of capital investment required to achieve a target growth rate.

Growth rate = Capital investment/ ICOR

Or

Capital investment = Growth rate × ICOR

For example, if the ICOR is 4 and targeted growth rate is 8%, the required investment is 32%.